Rewards and Loyalty Programs

Rewards and loyalty programmes

Rewards and loyalty programmes play a critical role in the use and adoption of credit cards. These programmes act as differentiators for the issuers.

Earlier, rewards programmes involved the accumulation of reward points over a period for catalogue redemption in future. However, due to the increasing customer inclination towards instant gratification through cashbacks and discounts, rewards programmes today are undergoing a major shift.

There are mainly three types of reward programmes available for credit cards:

- merchant funded
- issuer funded
- hybrid reward programmes.

In the last few years, it has been observed that the credit cards that provide a good rewards structure, loyalty benefits and various redemption options often sell well as compared to their counterparts. Issuers have now started to move away from the common practices of enticing customers with signup rewards and airport lounge access. Instead, they now focus on reward programmes and redemption flexibility. Post the pandemic, issuers have been quick in introducing and modifying their reward offerings. For example, the travel industry suffered considerably during the pandemic; thus, reward programmes were altered to focus on everyday expenses like groceries, streaming services and food delivery. The competitive nature of this space may eventually manoeuvre issuers towards flexible rewards and better loyalty benefits and therefore, deliver more value to the customers.

Hyper-personalisation for credit cards

Currently, the hyper-personalised experience (HPE) is one of the most talked-about topics in the banking space. Customers now prefer curated experiences and services for financial products. In India, several banks and FinTech entities have taken the digital-first approach and are using data analytics and artificial intelligence to generate personalised service offerings for customers. The credit card industry is no exception to this trend. Moreover, because the industry needs differentiation, there is no product which can fall into the 'one-size-fits-all' category.

Hyper-personalisation leverages data and analytics to identify customer needs and provide personalised offers or discounts on credit cards. It plays a critical role in defining customer journeys and rewards and offers management wherein customer behaviour is analysed for spend patterns. These spend patterns help card providers to target customers with dynamic reward programmes in order to enhance their experience and increase spending.

This is an important use case where customers choose the underlying value-added offerings on the card, such as cashbacks, rewards, travel, lifestyle and other offers. In future, it is expected that more such cards will be offered by different issuers.

Technology enablers for credit cards

Digital transformation is happening across industries and the credit card industry is no exception. Cognisant of the changing times and needs, the established players in the ecosystem are upgrading their offerings to more advanced platforms. These players are improving their existing technology stack and processes with the help of technology partners across various areas such as customer onboarding, underwriting and card processing – including virtual cards and instant issuance.

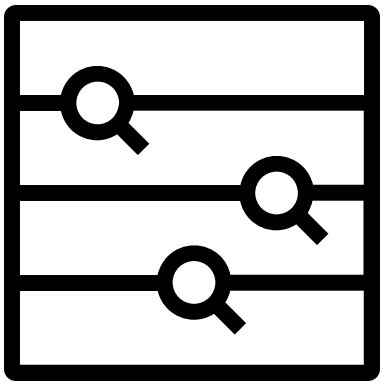
New-age service providers have designed solutions which are easy to integrate and enable faster go-to-market along with supporting launch of innovative products for credit cards. These solutions are hosted in the data centres of the solution providers and are made available to new and smaller issuers in the form of pay-per-use models. These home-grown service providers are assisting the issuers by delivering cloud-enabled CMS platforms which have modular capabilities and provide better user experience.

Legacy players in this field – who provided their solutions on licenced models, especially to major issuers – are transforming their business models and modifying them according to the emerging market needs. They have gradually moved to offer their solutions to

the issuers as a pay-per-use model along with managed services.

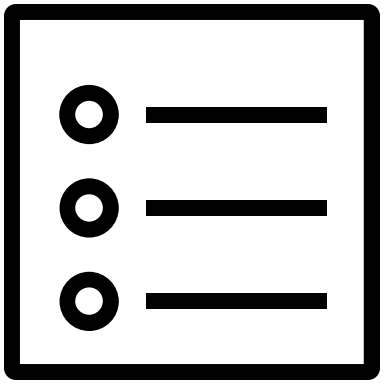
Due to the pandemic, issuers rapidly enabled the digitisation of processes across the value chain, which covered services from onboarding to know your customer (KYC), settlements, repayments and customer services.

Moreover, issuers are closely working with various solution providers, such as IT companies and FinTech players, to create seamless and faster processes. These collaborations have resulted in providing different services for the issuers, as listed below.



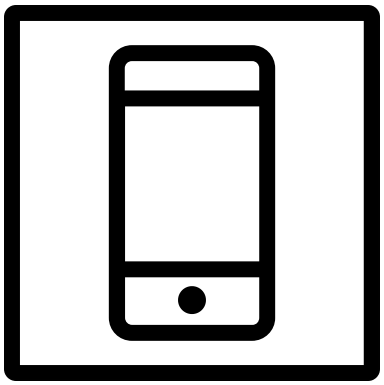
Digital onboarding journeys

APIs integration stack



Fraud management modules

Underwriting modules



White-labelled mobile apps